Analyzing and Recording Transactions

Chapter 2

Chapter 2 Learning Objectives

CONCEPTUAL

C1 Explain the steps in processing transactions and the role of source documents.

C2 Describe an account and its use in recording transactions.

C3 Describe a ledger and a chart of accounts.

C4 Define ***debits*** and ***credits*** and explain **double-entry accounting**.

ANALYTICAL

A1 Analyze the impact of transactions on accounts and financial statements.

A2 Compute the debt ratio and describe its use in analyzing financial condition.

PROCEDURAL

P1 Record transactions in a journal and post entries to a ledger.

P2 Prepare and explain the use of a trial balance.

P3 Prepare financial statements from business transactions.

Learning Objective

C1:
Explain the steps in processing transactions and the role of source documents.

System of Accounts

Business transactions and events are the starting points of financial statements. Process from transactions to financial statements is as follows:

- Identify each transaction and event from source documents.
- Analyze each transaction and event using the accounting equation.
- Record relevant transactions and events in a journal.
- Post journal information to ledger accounts.
- Prepare and analyze the trial balance and financial statements.

Learning Objective C1: Explain the steps in processing transactions and the role of source documents.

Source Documents

Checks

Bills from Suppliers

Purchase Orders

Employee Earnings Records

Bank Statements

Sales Tickets

Learning Objective -C1: Explain the steps in processing transactions and the role of source documents.

Learning Objective

C2:
Describe an account and its use in recording transactions.

The Account and Its Analysis

An account is a record of increases and decreases in a specific asset, liability, equity, revenue, or expense.

The general ledger is a record of all accounts used by the company.

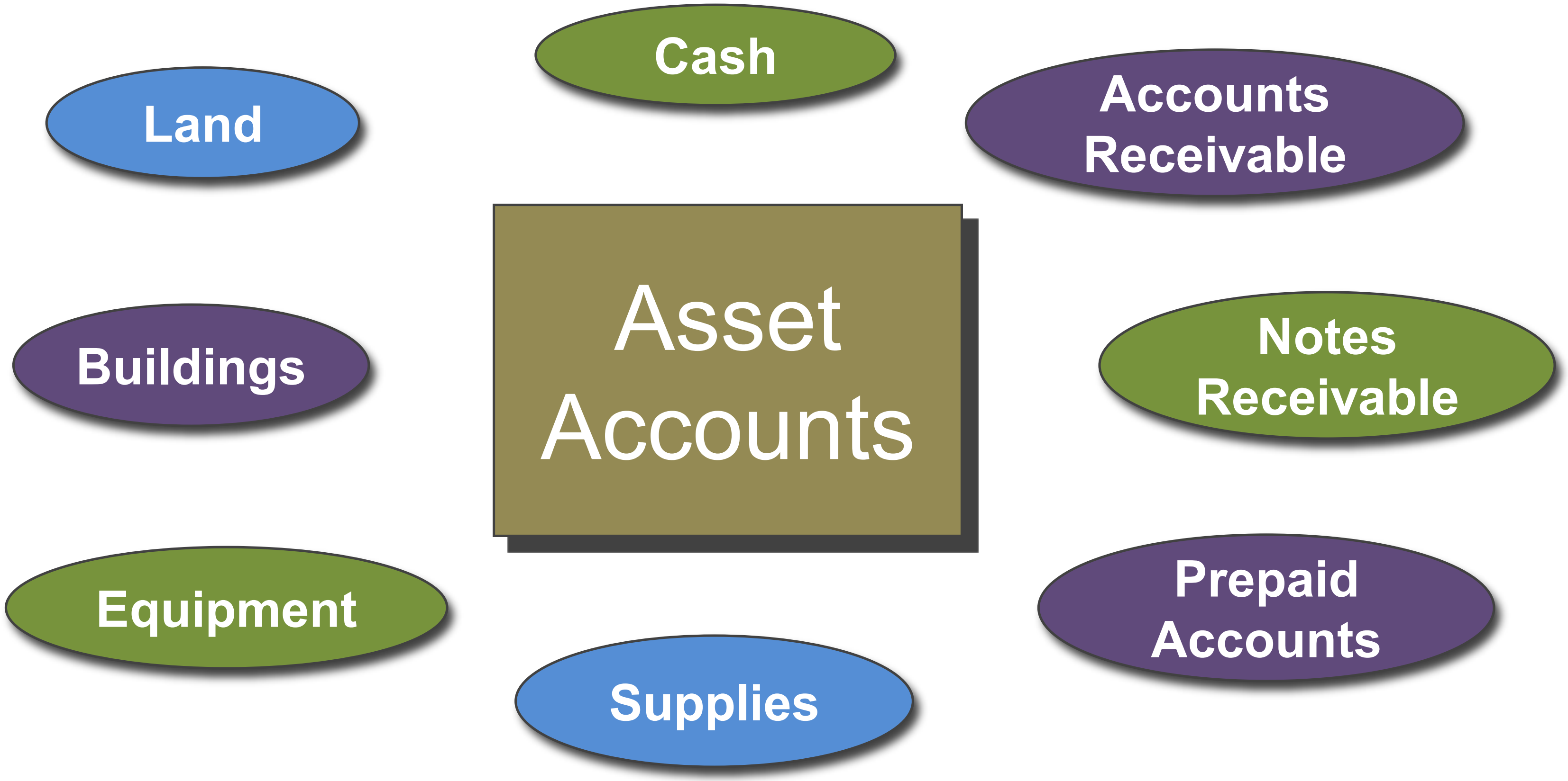
Learning Objective C2: Describe an account and its use in recording transactions.

The Account and Its Analysis

Exhibit 2.1

Learning Objective C2: Describe an account and its use in recording transactions.

Asset Accounts



Learning Objective C2: Describe an account and its use in recording transactions.

Liability Accounts

Accounts Payable

Notes Payable

Liability Accounts

Accrued Liabilities

Unearned Revenue

Learning Objective C2: Describe an account and its use in recording transactions.

Equity Accounts

+
Owner's Capital

-
Owner's Withdrawals

Equity Accounts

+
Revenues

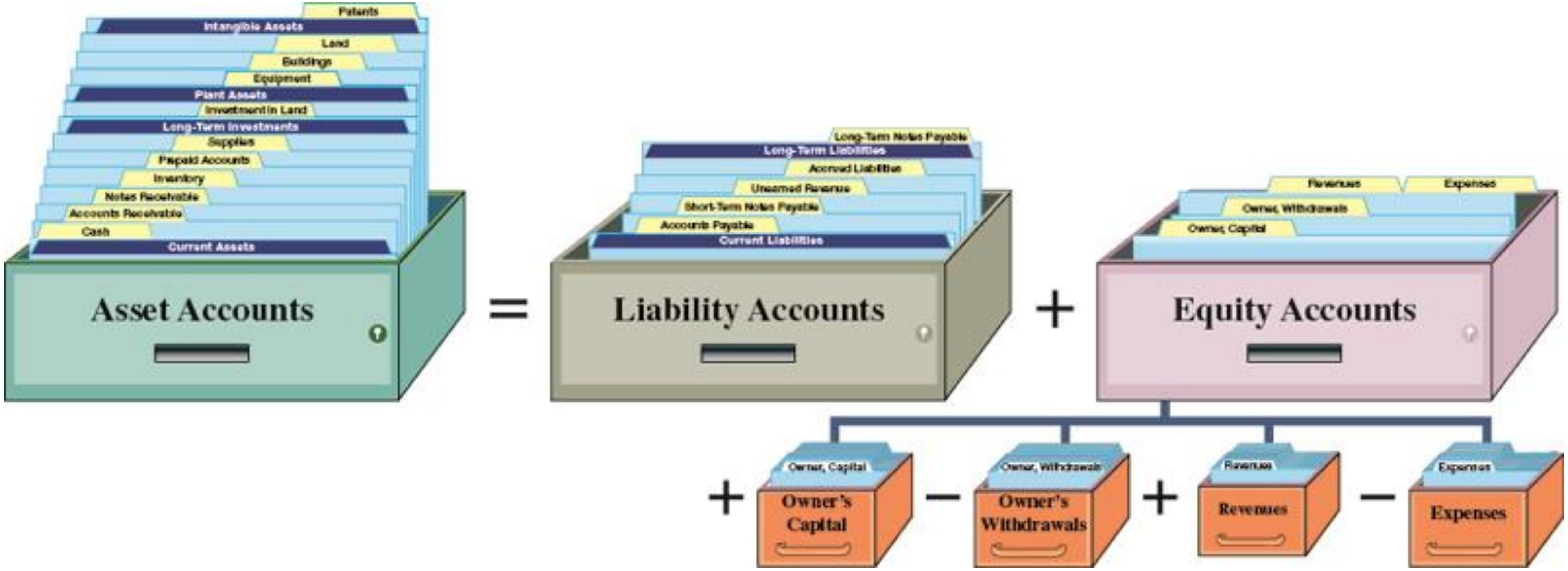
-
Expenses

Learning Objective C2: Describe an account and its use in recording transactions.

The Account and Its Analysis

Revenues and owner’s contributions increase equity.
Expenses and owner’s withdrawals decrease equity.

Exhibit 2.2



Learning Objective C2: Describe an account and its use in recording transactions.

Learning Objective

C3:
Describe a ledger and chart of accounts.

Ledger and Chart of Accounts

The ledger is a collection of all accounts for an accounting system. A company's size and diversity of operations affect the number of accounts needed.

The chart of accounts is a list of all accounts and includes an identifying number for each account.

Exhibit 2.4

Chart of Accounts

Assets

101	Cash
106	Accounts receivable
126	Supplies
128	Prepaid insurance
167	Equipment

Liabilities

201	Accounts payable
236	Unearned consulting revenue

Equity

301	C. Taylor, Capital
302	C. Taylor, Withdrawals

Revenues

403	Consulting revenue
406	Rental revenue

Expenses

622	Salaries expense
637	Insurance expense
640	Rent expense
652	Supplies expense
690	Utilities expense

Learning Objective

C4:
Define debits and credits and explain double-entry accounting.

Debits and Credits

A T-account represents a ledger account and is used to depict the effects of one or more transactions.

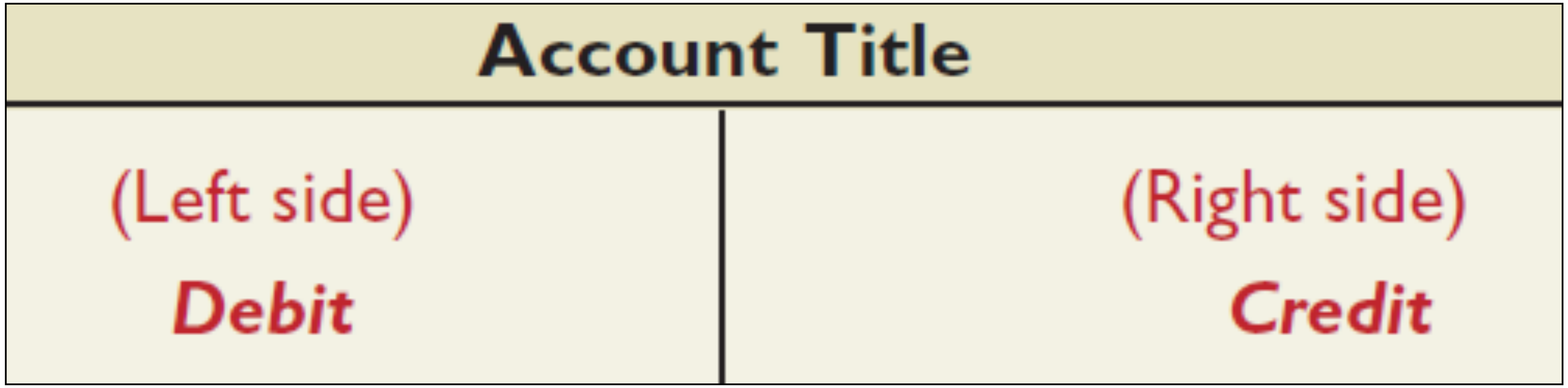


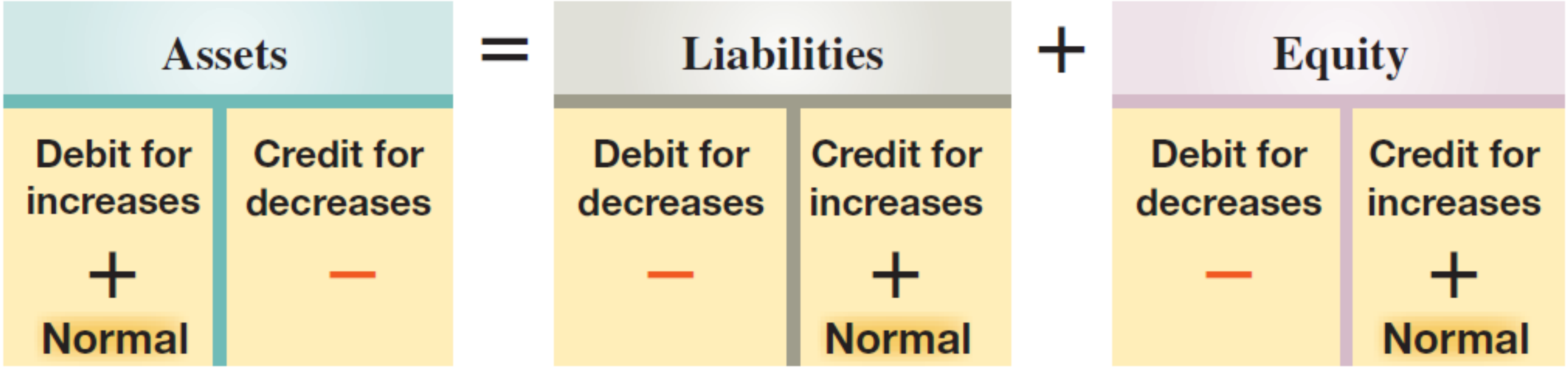
Exhibit 2.5

Learning Objective C4: Define debits and credits and explain double-entry accounting.

Double-Entry Accounting

Assets = **Liabilities** + **Equity**

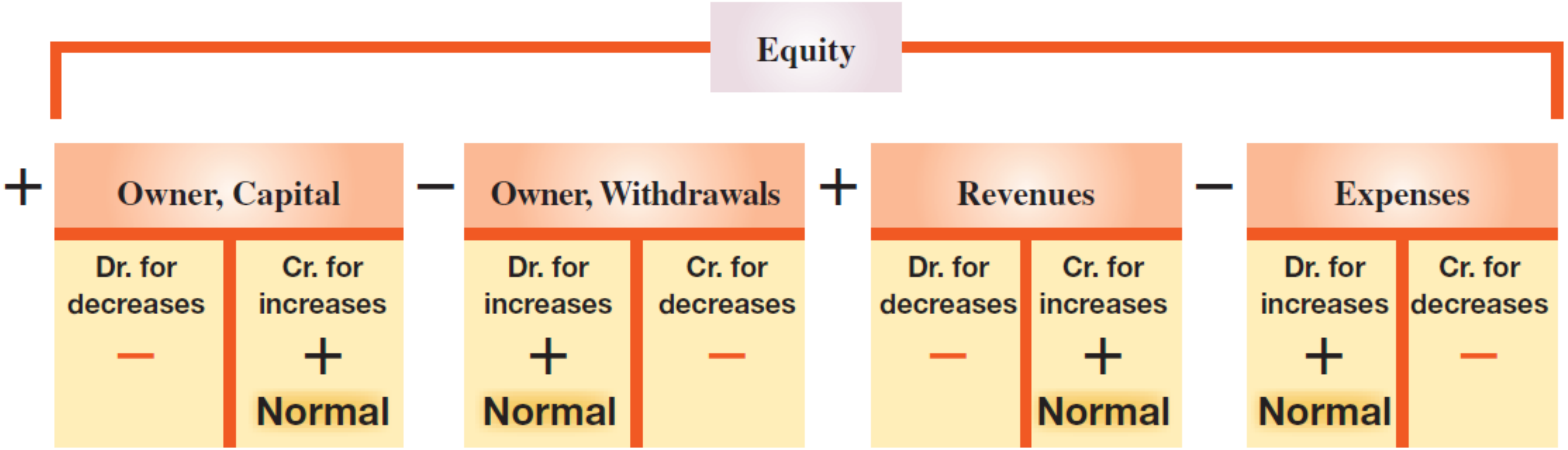
Exhibit 2.6



Double-Entry Accounting

Here is the expanded accounting equation showing the equity section.

Exhibit 2.7



Learning Objective C4: Define debits and credits and explain double-entry accounting.

Double-Entry Accounting

An account balance is the difference between the increases and decreases in an account. Notice the T-Account.

Exhibit 2.8

Cash			
Receive investment by owner	30,000	Purchase of supplies	2,500
Consulting services revenue earned	4,200	Purchase of equipment	26,000
Collection of account receivable	1,900	Payment of rent	1,000
		Payment of salary	700
		Payment of account payable	900
		Withdrawal by owner	200
Balance	4,800		

36,100

31,300

36,100 – 31,300

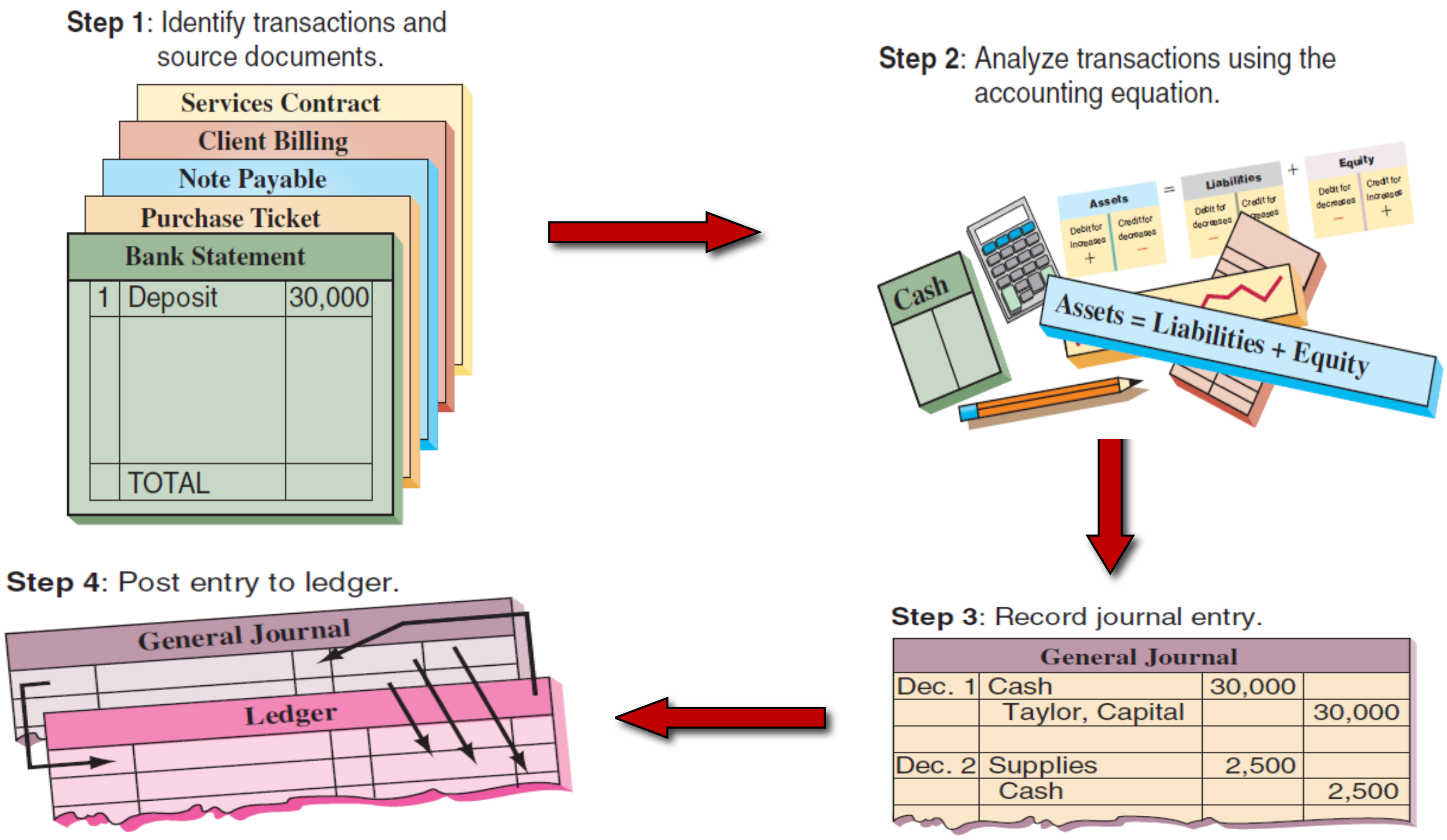
Learning Objective C4: Define debits and credits and explain double-entry accounting.

Learning Objective

P1:
Record transactions in a journal and post entries to a ledger.

Journalizing and Posting Transactions

Exhibit 2.9



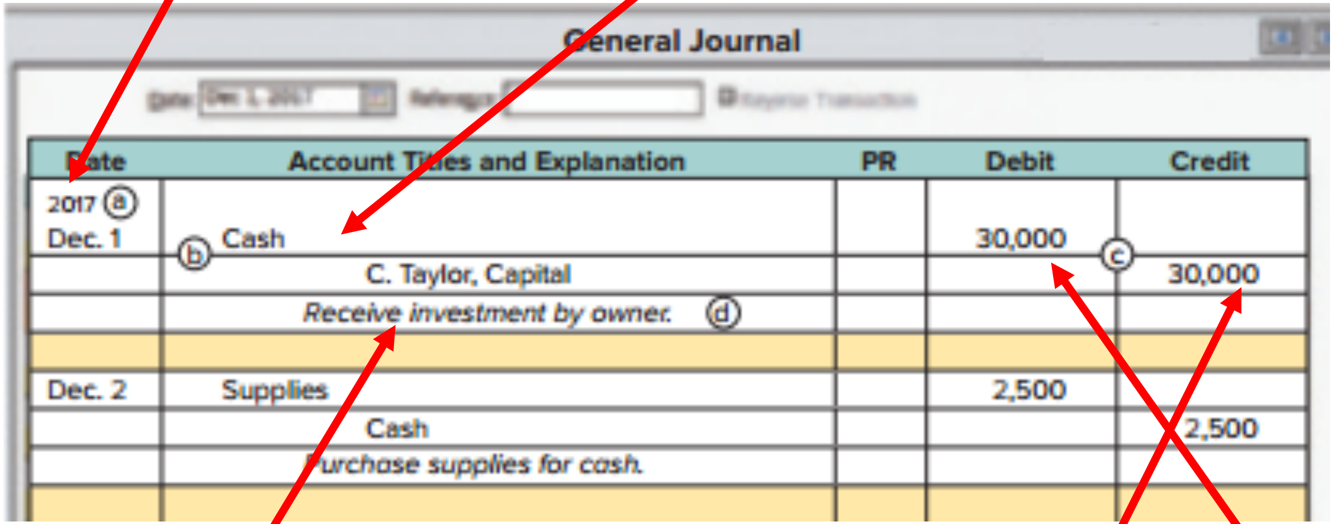
Learning Objective P1: Record transactions in a journal and post entries to a ledger.

Journalizing Transactions

Exhibit 2.10

a. Transaction Date

b. Titles of Affected Accounts



General Journal

Date	Account Titles and Explanation	PR	Debit	Credit
2017 (a)				
Dec. 1	(b) Cash		30,000	(c)
	C. Taylor, Capital			30,000
	Receive investment by owner. (d)			
Dec. 2	Supplies		2,500	
	Cash			2,500
	Purchase supplies for cash.			

d. Transaction explanation

c. Dollar amount of debits and credits

Learning Objective P1: Record transactions in a journal and post entries to a ledger.

Balance Account Column

Exhibit 2.11

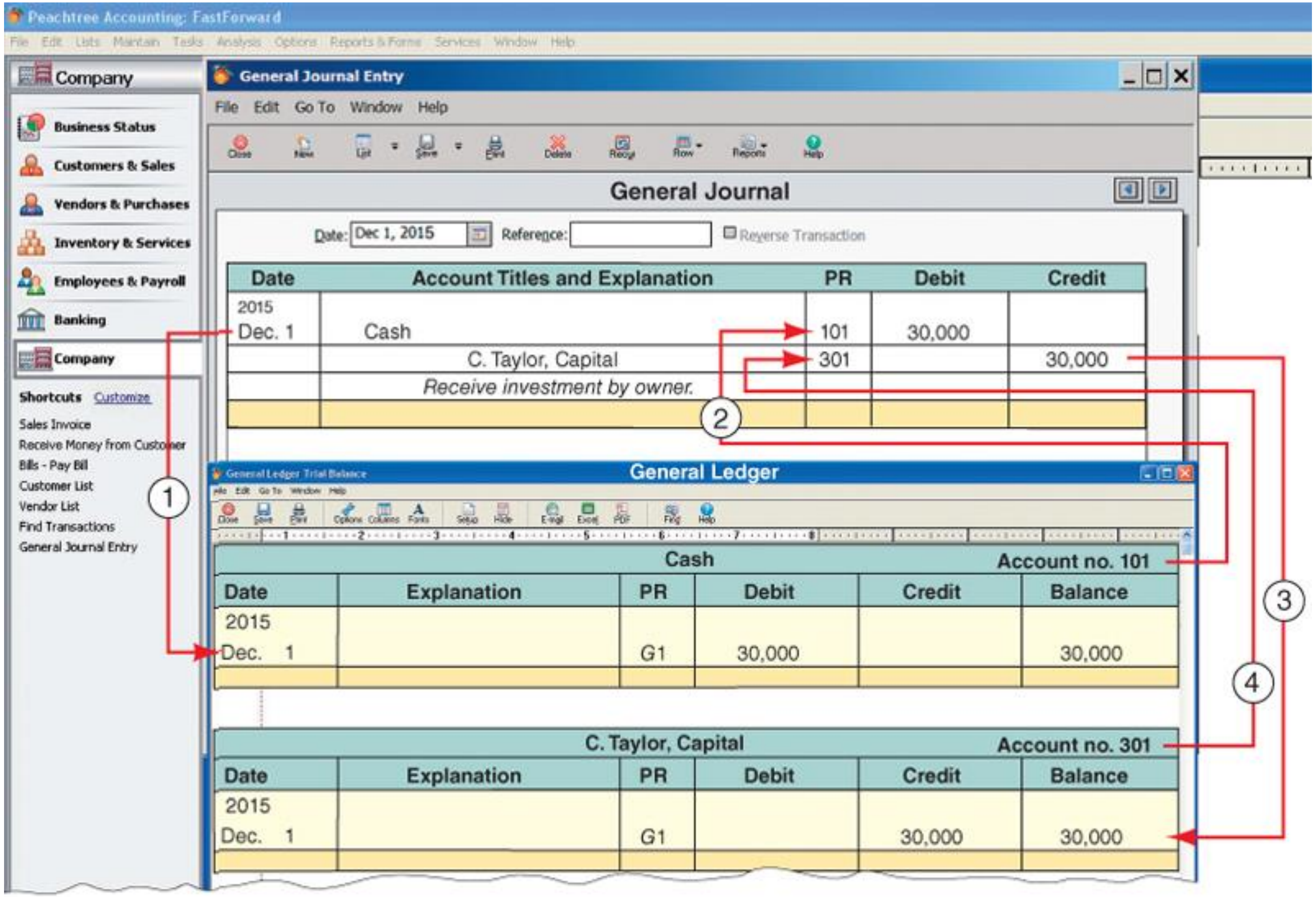
T-accounts are useful illustrations, but balance column ledger accounts are used in practice.

General Ledger					
Cash					Account No. 101
Date	Explanation	PR	Debit	Credit	Balance
2017					
Dec. 1		G1	30,000		30,000
Dec. 2		G1		2,500	27,500
Dec. 3		G1		26,000	1,500
Dec. 10		G1	4,200		5,700

Learning Objective P1: Record transactions in a journal and post entries to a ledger.

Posting Journal Entries

Exhibit 2.12



Learning Objective P1: Record transactions in a journal and post entries to a ledger.

Learning Objective

A1:
Analyze the impact of transactions on accounts and financial statements.

Processing Transactions

Double-entry accounting is useful in analyzing and processing transactions. Analysis of each transaction follows these four steps.

Step 1 Identify the transaction and any source documents.

Step 2 Analyze the transaction using the accounting equation.

Step 3 Record the transaction in journal entry form applying double-entry accounting.

Step 4 Post the entry (for simplicity, we use T-accounts to represent ledger accounts).

Learning Objective A1: Analyze the impact of transactions on accounts and financial statements.

Processing Transactions

1. Receive investment by Owner

1 IDENTIFY FastForward receives $30,000 cash from Chas Taylor as an owner contribution.

2 ANALYZE

Assets	=	Liabilities	+	Equity
Cash				**C. Taylor, Capital**
+30,000	=	0		+30,000

3 RECORD

Date	Account Titles and Explanation	PR	Debit	Credit
(1)	Cash	101	30,000	
	C. Taylor, Capital	301		30,000

4 POST

Cash	101
(1) 30,000	

C. Taylor, Capital	301
	(1) 30,000

Learning Objective A1: Analyze the impact of transactions on accounts and financial statements.

Processing Transactions

2. Purchase Supplies for Cash

1 IDENTIFY FastForward pays $2,500 cash for supplies.

2 ANALYZE

Assets		=	Liabilities	+	Equity
Cash	Supplies				
−2,500	+2,500	=	0	+	0

Changes the composition of assets but not the total.

3 RECORD

Date	Account Titles and Explanation	PR	Debit	Credit
(2)	Supplies	126	2,500	
	Cash	101		2,500

4 POST

Supplies			126
(2)	2,500		

Cash			101
(1)	30,000	(2)	2,500

Learning Objective A1: Analyze the impact of transactions on accounts and financial statements.

Processing Transactions

3. Purchase Equipment for Cash

1 IDENTIFY FastForward pays $26,000 cash for equipment.

2 ANALYZE

Assets		=	Liabilities	+	Equity
Cash	Equipment				
−26,000	+26,000	=	0	+	0

Changes the composition of assets but not the total.

3 RECORD

Date	Account Titles and Explanation	PR	Debit	Credit
(3)	Equipment	167	26,000	
	Cash	101		26,000

4 POST

Equipment			167
(3)	26,000		

Cash			101
(1)	30,000	(2)	2,500
		(3)	26,000

Learning Objective A1: Analyze the impact of transactions on accounts and financial statements.

Processing Transactions

4. Purchase Supplies on Credit

1 IDENTIFY FastForward purchases $7,100 of supplies on credit from a supplier.

2 ANALYZE

Assets	=	Liabilities	+	Equity
Supplies		**Accounts Payable**		
+7,100	=	+7,100	+	0

3 RECORD

Date	Account Titles and Explanation	PR	Debit	Credit
(4)	Supplies	126	7,100	
	Accounts Payable	201		7,100

4 POST

Supplies			**126**
(2)	2,500		
(4)	7,100		

Accounts Payable			**201**
		(4)	7,100

Learning Objective A1: Analyze the impact of transactions on accounts and financial statements.

Processing Transactions

5. Provide Services for Cash

1 IDENTIFY FastForward provides consulting services and immediately collects $4,200 cash.

2 ANALYZE

Assets	=	Liabilities	+	Equity
Cash				**Consulting Revenue**
+4,200	=	0		+4,200

3 RECORD

Date	Account Titles and Explanation	PR	Debit	Credit
(5)	Cash	101	4,200	
	Consulting Revenue	403		4,200

4 POST

Cash			101
(1)	30,000	(2)	2,500
(5)	4,200	(3)	26,000

Consulting Revenue			403
		(5)	4,200

Learning Objective A1: Analyze the impact of transactions on accounts and financial statements.

Processing Transactions

6. Payment of Expense in Cash

1 IDENTIFY FastForward pays $1,000 cash for December rent.

2 ANALYZE

Assets	=	Liabilities	+	Equity
Cash				Rent Expense
−1,000	=	0		−1,000

3 RECORD

Date	Account Titles and Explanation	PR	Debit	Credit
(6)	Rent Expense	640	1,000	
	Cash	101		1,000

4 POST

Rent Expense			640
(6)	1,000		

Cash			101
(1)	30,000	(2)	2,500
(5)	4,200	(3)	26,000
		(6)	1,000

Learning Objective A1: Analyze the impact of transactions on accounts and financial statements.

Processing Transactions

7. Payment of Expense in Cash

1 IDENTIFY FastForward pays $700 cash for employee salary.

2 ANALYZE

Assets	=	Liabilities	+	Equity
Cash				Salaries Expense
−700	=	0		−700

3 RECORD

Date	Account Titles and Explanation	PR	Debit	Credit
(7)	Salaries Expense	622	700	
	Cash	101		700

4 POST

Salaries Expense			622
(7)	700		

Cash			101
(1)	30,000	(2)	2,500
(5)	4,200	(3)	26,000
		(6)	1,000
		(7)	700

Learning Objective A1: Analyze the impact of transactions on accounts and financial statements.

Processing Transactions

8. Provide Consulting and Rental Services on Credit

1 IDENTIFY FastForward provides consulting services of $1,600 and rents its test facilities for $300. The customer is billed $1,900 for these services.

2 ANALYZE

Assets	=	Liabilities	+	Equity	
Accounts Receivable				Consulting Revenue	Rental Revenue
+1,900	=	0		+1,600	+300

3 RECORD

Date	Account Titles and Explanation	PR	Debit	Credit
(8)	Accounts Receivable	106	1,900	
	Consulting Revenue	403		1,600
	Rental Revenue	406		300

4 POST

Accounts Receivable	106		
(8)	1,900		

Consulting Revenue	403		
		(5)	4,200
		(8)	1,600

Rental Revenue	406		
		(8)	300

Learning Objective A1: Analyze the impact of transactions on accounts and financial statements.

Processing Transactions

9. Receipt of Cash on Account

1 IDENTIFY FastForward receives $1,900 cash from the client billed in transaction 8.

2 ANALYZE

Assets		=	Liabilities	+	Equity
Cash	Accounts Receivable				
+1,900	−1,900	=	0	+	0

3 RECORD

Date	Account Titles and Explanation	PR	Debit	Credit
(9)	Cash	101	1,900	
	Accounts Receivable	106		1,900

4 POST

Cash			101
(1)	30,000	(2)	2,500
(5)	4,200	(3)	26,000
(9)	1,900	(6)	1,000
		(7)	700

Accounts Receivable			106
(8)	1,900	(9)	1,900

Learning Objective A1: Analyze the impact of transactions on accounts and financial statements.

Processing Transactions

10. Partial Payment of Accounts Payable

1 IDENTIFY FastForward pays CalTech Supply $900 cash toward the payable of transaction 4.

2 ANALYZE

Assets	=	Liabilities	+	Equity
Cash		Accounts Payable		
−900	=	−900	+	0

3 RECORD

Date	Account Titles and Explanation	PR	Debit	Credit
(10)	Accounts Payable	201	900	
	Cash	101		900

4 POST

Accounts Payable			201
(10)	900	(4)	7,100

Cash			101
(1)	30,000	(2)	2,500
(5)	4,200	(3)	26,000
(9)	1,900	(6)	1,000
		(7)	700
		(10)	900

Learning Objective A1: Analyze the impact of transactions on accounts and financial statements.

Processing Transactions

11. Withdrawal of Cash by Owner

1 IDENTIFY Chas Taylor withdraws $200 cash from FastForward for personal use.

2 ANALYZE

Assets	=	Liabilities	+	Equity
Cash				**C. Taylor, Withdrawals**
−200	=	0		−200

3 RECORD

Date	Account Titles and Explanation	PR	Debit	Credit
(11)	C. Taylor, Withdrawals	302	200	
	Cash	101		200

4 POST

C. Taylor, Withdrawals	302		
(11)	200		

Cash	101		
(1)	30,000	(2)	2,500
(5)	4,200	(3)	26,000
(9)	1,900	(6)	1,000
		(7)	700
		(10)	900
		(11)	200

Learning Objective A1: Analyze the impact of transactions on accounts and financial statements.

Processing Transactions

12. Receipt of Cash for Future Services

1 IDENTIFY FastForward receives $3,000 cash in advance of providing consulting services to a customer.

2 ANALYZE

Assets	=	Liabilities	+	Equity
Cash		Unearned Consulting Revenue		
+3,000	=	+3,000	+	0

Accepting $3,000 cash obligates FastForward to perform future services and is a liability. No revenue is earned until services are provided.

3 RECORD

Date	Account Titles and Explanation	PR	Debit	Credit
(12)	Cash	101	3,000	
	Unearned Consulting Revenue	236		3,000

4 POST

Cash			101
(1)	30,000	(2)	2,500
(5)	4,200	(3)	26,000
(9)	1,900	(6)	1,000
(12)	3,000	(7)	700
		(10)	900
		(11)	200

Unearned Consulting Revenue			236
		(12)	3,000

Learning Objective A1: Analyze the impact of transactions on accounts and financial statements.

Processing Transactions

13. Pay Cash for Future Insurance Coverage

1 IDENTIFY FastForward pays $2,400 cash (insurance premium) for a 24-month insurance policy. Coverage begins on December 1.

2 ANALYZE

Assets		=	Liabilities	+	Equity
Cash	Prepaid Insurance				
−2,400	+2,400	=	0	+	0

Changes the composition of assets from cash to prepaid insurance. Expense is incurred as insurance coverage expires.

3 RECORD

Date	Account Titles and Explanation	PR	Debit	Credit
(13)	Prepaid Insurance	128	2,400	
	Cash	101		2,400

4 POST

Prepaid Insurance	128		
(13)	2,400		

Cash	101		
(1)	30,000	(2)	2,500
(5)	4,200	(3)	26,000
(9)	1,900	(6)	1,000
(12)	3,000	(7)	700
		(10)	900
		(11)	200
		(13)	2,400

Learning Objective A1: Analyze the impact of transactions on accounts and financial statements.

Processing Transactions

14. Purchase Supplies for Cash

1 Identify FastForward pays $120 cash for supplies.

2 Analyze

Assets		=	Liabilities	+	Equity
Cash	Supplies				
−120	+120	=	0	+	0

3 Record

Date	Account Titles and Explanation	PR	Debit	Credit
(14)	Supplies	126	120	
	Cash	101		120

4 Post

Supplies			126
(2)	2,500		
(4)	7,100		
(14)	120		

Cash			101
(1)	30,000	(2)	2,500
(5)	4,200	(3)	26,000
(9)	1,900	(6)	1,000
(12)	3,000	(7)	700
		(10)	900
		(11)	200
		(13)	2,400
		(14)	120

Learning Objective A1: Analyze the impact of transactions on accounts and financial statements.

Processing Transactions

15. Payment of Expense in Cash

1 IDENTIFY FastForward pays $305 cash for December utilities expense.

2 ANALYZE

Assets	=	Liabilities	+	Equity
Cash				Utilities Expense
−305	=	0		−305

3 RECORD

Date	Account Titles and Explanation	PR	Debit	Credit
(15)	Utilities Expense	690	305	
	Cash	101		305

4 POST

Utilities Expense 690

(15)	305		

Cash 101

(1)	30,000	(2)	2,500
(5)	4,200	(3)	26,000
(9)	1,900	(6)	1,000
(12)	3,000	(7)	700
		(10)	900
		(11)	200
		(13)	2,400
		(14)	120
		(15)	305

Learning Objective A1: Analyze the impact of transactions on accounts and financial statements.

Processing Transactions

16. Payment of Expense in Cash

1 IDENTIFY FastForward pays $700 cash in employee salary for work performed in the latter part of December.

2 ANALYZE

Assets	=	Liabilities	+	Equity
Cash				Salaries Expense
−700	=	0		−700

3 RECORD

Date	Account Titles and Explanation	PR	Debit	Credit
(16)	Salaries Expense	622	700	
	Cash	101		700

4 POST

Salaries Expense			622
(7)	700		
(16)	700		

Cash			101
(1)	30,000	(2)	2,500
(5)	4,200	(3)	26,000
(9)	1,900	(6)	1,000
(12)	3,000	(7)	700
		(10)	900
		(11)	200
		(13)	2,400
		(14)	120
		(15)	305
		(16)	700

Learning Objective A1: Analyze the impact of transactions on accounts and financial statements.

Debit and Credit Rules

Exhibit 2.13

General Ledger

Assets = Liabilities + Equity

Assets

Cash			101
(1)	30,000	(2)	2,500
(5)	4,200	(3)	26,000
(9)	1,900	(6)	1,000
(12)	3,000	(7)	700
		(10)	900
		(11)	200
		(13)	2,400
		(14)	120
		(15)	305
		(16)	700
Balance	4,275		

Accounts Receivable			106
(8)	1,900	(9)	1,900
Balance	0		

Supplies			126
(2)	2,500		
(4)	7,100		
(14)	120		
Balance	9,720		

Prepaid Insurance			128
(13)	2,400		

Equipment			167
(3)	26,000		

Liabilities

Accounts Payable			201
(10)	900	(4)	7,100
		Balance	6,200

Unearned Consulting Revenue			236
		(12)	3,000

Equity

C. Taylor, Capital			301
		(1)	30,000

C. Taylor, Withdrawals			302
(11)	200		

Consulting Revenue			403
		(5)	4,200
		(8)	1,600
		Balance	5,800

Rental Revenue			406
		(8)	300

Salaries Expense			622
(7)	700		
(16)	700		
Balance	1,400		

Rent Expense			640
(6)	1,000		

Utilities Expense			690
(15)	305		

Accounts in this white area reflect those reported on the income statement.

$42,395 = $9,200 + $33,195

Learning Objective A1: Analyze the impact of transactions on accounts and financial statements.

Learning Objective

P2:
Prepare and explain the use of a trial balance.

Preparing a Trial Balance

Preparing a trial balance involves three steps:

1. List each account title and its amount (from ledger) in the trial balance. If an account has a zero balance, list it with a zero in the normal balance column (or omit it entirely).
2. Compute the total of debit balances and the total of credit balances.
3. Verify (prove) total debit balances equal total credit balances.

Learning Objective P2: Prepare and explain the use of a trial balance.

After processing its remaining transactions for December, FastForward's Trial Balance is prepared.

FASTFORWARD Trial Balance December 31, 2017		Debit		Credit
Cash	$	4,275		
Accounts receivable		0		
Supplies		9,720		
Prepaid insurance		2,400		
Equipment		26,000		
Accounts payable			$	6,200
Unearned consulting revenue				3,000
C. Taylor, Capital				30,000
C. Taylor, Withdrawals		200		
Consulting revenue				5,800
Rental revenue				300
Salaries expense		1,400		
Rent expense		1,000		
Utilities expense		305		
Totals	$	45,300	$	45,300

The trial balance lists all ledger accounts and their balances at a point in time. If the books are in balance, the total debits will equal the total credits.

Learning Objective P2: Prepare and explain the use of a trial balance.

Searching for Errors

If the trial balance does not balance, the error(s) must be found and corrected.

1. Make sure the trial balance columns are correctly added.
2. Make sure account balances are correctly entered from the ledger.
3. See if debit or credit accounts are mistakenly placed on the trial balance.
4. Re-compute each account balance in the ledger.
5. Verify that each journal entry is posted correctly.
6. Verify that each original journal entry has equal debits and credits.

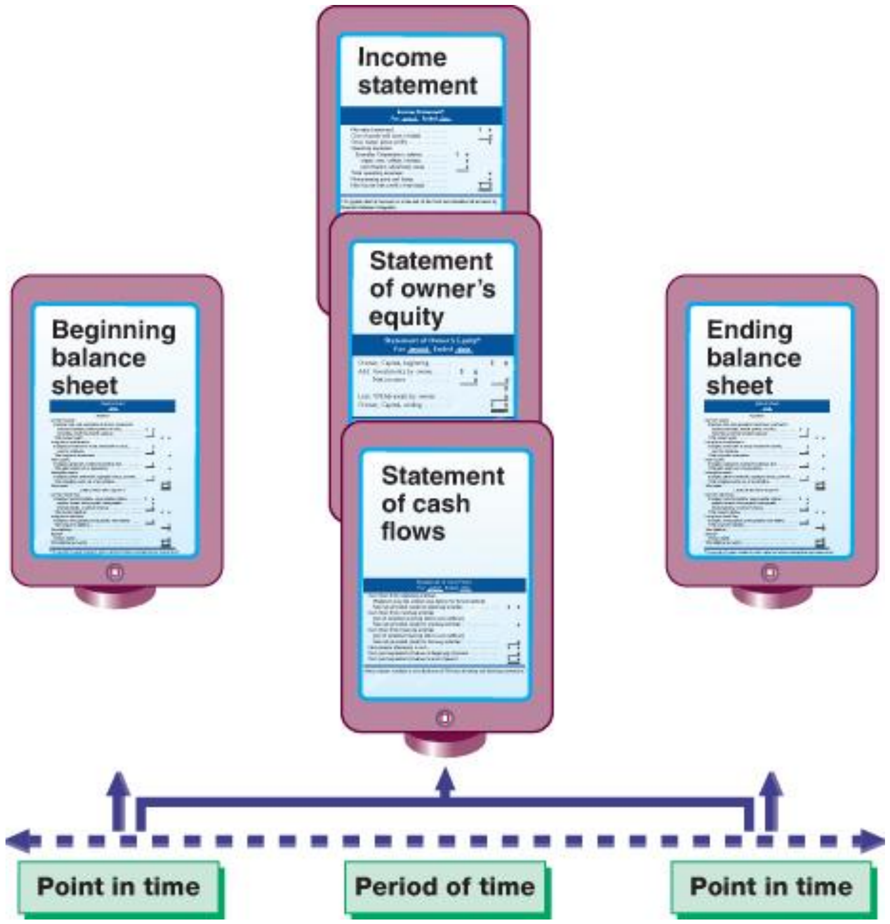
Learning Objective P2: Prepare and explain the use of a trial balance.

Learning Objective

P3:
Prepare financial statements from business transactions.

Financial Statements Prepared from Trial Balance

Exhibit 2.15



Learning Objective P3: Prepare financial statements from business transactions.

Financial Statements

The four financial statements and their purposes are:

1. Income statement — reports revenues less expenses along with the resulting net income or loss over a period of time due to earnings activities.
2. Statement of owner's equity— reports how equity changes over the reporting period from net income (or loss) and from any owner investments and withdrawals over a period of time.
3. Balance sheet — reports the financial position (types and amounts of assets, liabilities, and equity) at a point in time.
4. Statement of Cash Flows — The statement of cash flows lists the cash inflows and cash outflows for the period.
For simplicity, we do not show the statement of cash flows for FastForward in this chapter, but we do return to this statement in the next chapter.

Learning Objective P3: Prepare financial statements from business transactions.

Income Statement

Exhibit 2.16

FASTFORWARD Income Statement For Month Ended December 31, 2017		
Revenues		
Consulting revenue ($4,200 + $1,600)	$ 5,800	
Rental revenue	300	
Total revenues		$ 6,100
Expenses		
Salaries expense	1,400	
Rent expense	1,000	
Utilities expense	305	
Total expenses		2,705
Net income		$ 3,395

Learning Objective P3: Prepare financial statements from business transactions.

Statement of Owner's Equity

Exhibit 2.16

FASTFORWARD
Income Statement
For Month Ended December 31, 2017

Revenues		
Consulting revenue ($4,200 + $1,600)	$ 5,800	
Rental revenue	300	
Total revenues		$ 6,100
Expenses		
Salaries expense	1,400	
Rent expense	1,000	
Utilities expense	305	
Total expenses		2,705
Net income		$ 3,395

FASTFORWARD
Statement of Owner's Equity
For Month Ended December 31, 2017

C. Taylor, Capital, December 1, 2017		$ 0
Plus: Investments by owner	$30,000	
Net income	3,395	33,395
		33,395
Less: Withdrawals by owner		200
C. Taylor, Capital, December 31, 2017		$33,195

Learning Objective P3: Prepare financial statements from business transactions.

Balance Sheet

Exhibit 2.16

FASTFORWARD
Statement of Owner's Equity
For Month Ended December 31, 2017

C. Taylor, Capital, December 1, 2017			$ 0
Plus:	Investments by owner	$30,000	
	Net income	3,395	33,395
			33,395
Less:	Withdrawals by owner		200
C. Taylor, Capital, December 31, 2017			$33,195

FASTFORWARD
Balance Sheet
December 31, 2017

Assets		**Liabilities**	
Cash	$ 4,275	Accounts payable	$ 6,200
Supplies	9,720	Unearned consult. revenue	3,000
Prepaid insurance	2,400	Total liabilities	9,200
Equipment	26,000	**Equity**	
		C. Taylor, Capital	33,195
Total assets	$42,395	Total liabilities and equity	$ 42,395

Learning Objective P3: Prepare financial statements from business transactions.

Presentation Issues

1. Dollar signs are not used in journals and ledgers.
2. Dollar signs appear in financial statements and other reports such as trial balances. The usual practice is to put dollar signs beside only the first and last numbers in a column.
3. When amounts are entered in the journal, ledger, or trial balance, commas are optional to indicate thousands, millions, and so forth.
4. Commas are always used in financial statements.
5. Companies commonly round amounts in reports to the nearest dollar, or even to a higher level.

Learning Objective

A2:
Compute the debt ratio and describe its use in analyzing financial condition.

Debt Ratio

$$\text{Debt Ratio} = \frac{\text{Total Liabilities}}{\text{Total Assets}}$$

Evaluates the level of debt risk.

A higher ratio indicates that there is a greater probability that a company will not be able to pay its debt in the future.

Learning Objective A2: Compute the debt ratio and describe its use in analyzing financial condition.

Debt Ratio

Exhibit 2.18

$$\text{Debt Ratio} = \frac{\text{Total Liabilities}}{\text{Total Assets}}$$

$ millions	2015	2014	2013	2012	2011
Total liabilities	$ 672	$ 541	$ 429	$ 421	$ 389
Total assets	$2,047	$1,675	$1,409	$1,340	$1,282
Debt ratio	**0.33**	**0.32**	**0.30**	**0.31**	**0.30**
Industry debt ratio	0.49	0.49	0.47	0.46	0.47

Learning Objective A2: Compute the debt ratio and describe its use in analyzing financial condition.

End of Chapter 2